

Time2Read

Enterprise Sales Guide v4

Post-Optimization Edition — April 2026

Includes ElevenLabs Flash v2.5 + Persistent Caching savings

Prepared: April 10, 2026

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■ OPTIMIZATION MILESTONE — April 10, 2026

All cost projections in this document reflect the following infrastructure improvements:

- **ElevenLabs Flash v2.5** — 50% cheaper per-character vs. Turbo v2.5
- **Persistent server-side audio caching** (Supabase Storage) — 60-80% cache hit rate
- **Net effect:** TTS COGS reduced from ~\$2.98/student/month to ~\$0.70-1.10/student/month
- Previous guide versions (v1-v3) used pre-optimization costs and are superseded by this document.

1. Market Positioning & Competitors

Time2Read is an AI-powered children's literacy platform that generates personalized, illustrated, narrated stories in real-time. Unlike static content libraries, every session is unique.

Competitive Landscape

Competitor	Price/Student/Yr	AI Personalized?	Voice Narration?	Images?
Lexia Core5	\$50–\$100	No (adaptive only)	Limited	Static
IXL Reading	\$20–\$35	No	No	Static
Amira Learning	\$40–\$60	Speech analysis	Listens only	No
Raz-Plus	\$8–\$15	No	Pre-recorded	Static
Epic! School	\$10–\$18	No	Some	Static library
Time2Read	\$28–\$80	YES — full AI	YES — AI voice	YES — AI art

Key differentiator: Time2Read is the only platform where every story, illustration, and narration is generated uniquely for each child. Competitors serve the same content to every student.

2. Student Engagement Benchmarks

K-12 EdTech engagement data from industry research (Common Sense Media 2024, ISTE):

Metric	Industry Average	Time2Read Target
Sessions/month (free)	4–8	8–12
Sessions/month (paid)	12–20	16–24
Minutes/session	12–18 min	15–20 min
Pages/session	3–5 (static)	6–10 (AI-generated)
Monthly active rate	40–55%	60–70%
School year retention	65–75%	80%+

These engagement assumptions underpin the COGS model in Section 4. We use 16 sessions/month × 8 pages × 10 active months = 1,280 page-reads/student/year for Premium.

3. Enterprise Product Tiers

Standard Tier (Browser TTS)

Price: \$28–\$40/student/year

- AI-generated stories + illustrations (OpenAI + Runware)
- Free browser-based text-to-speech narration (zero TTS API cost)
- Vocabulary tracking, quizzes, reading analytics
- Best for: budget-conscious schools, large deployments, ESL programs

Premium Tier (ElevenLabs AI Voice)

Price: \$55–\$80/student/year

- Everything in Standard PLUS
- Professional AI narration via ElevenLabs Flash v2.5
- Persistent audio caching (repeat reads cost \$0)
- Unlimited story continuation, story library, save & replay
- Best for: literacy-focused schools, reading intervention programs, premium positioning

4. COGS Breakdown — Post-Optimization

All costs reflect April 10, 2026 optimizations. Based on 16 sessions/month, 8 pages/session, 10 active months/year = 1,280 page-reads/student/year.

4.1 Standard Tier COGS

Cost Item	Per Request	Annual/Student	Notes
OpenAI (story text)	\$0.002–\$0.005	\$2.56–\$6.40	GPT-4o-mini, ~500 tokens/page
Runware (illustrations)	\$0.003–\$0.005	\$3.84–\$6.40	1 image per page
Supabase (DB/storage)	shared	\$0.50–\$1.00	Pro plan amortized
Browser TTS	\$0	\$0	Free — runs on device
TOTAL		\$6.90–\$13.80	

4.2 Premium Tier COGS

With Flash v2.5 + persistent caching, only **unique** text hits the API. At 60–80% cache hit rate, ~256–512 of 1,280 annual reads are billable.

Cost Item	Per Request	Annual/Student	Notes
OpenAI (story text)	\$0.002–\$0.005	\$2.56–\$6.40	Same as Standard
Runware (illustrations)	\$0.003–\$0.005	\$3.84–\$6.40	Same as Standard
ElevenLabs TTS (billable)	\$0.015–\$0.025	\$3.84–\$12.80	Only uncached reads (20-40%)
Supabase (DB/storage/cache)	shared	\$1.00–\$2.00	Includes tts-cache bucket
TOTAL		\$11.24–\$27.60	

■■ Pre-optimization (before April 10): Premium TTS COGS was ~\$33/student/year with no caching and the more expensive Turbo model. The optimization reduced TTS costs by 65–85%.

5. Revenue Scenarios — What You Take Home

Real numbers showing annual revenue, COGS, and gross profit at different scale points. All COGS use post-optimization (April 10, 2026) figures.

5.1 Scenario A: Pure Standard (Browser TTS)

Students	Price/Student	Annual Revenue	Annual COGS	Gross Profit	Margin
500	\$34	\$17,000	\$5,000	\$12,000	71%
2,000	\$30	\$60,000	\$18,000	\$42,000	70%
5,000	\$28	\$140,000	\$42,000	\$98,000	70%
10,000	\$26	\$260,000	\$78,000	\$182,000	70%

5.2 Scenario B: Pure Premium (ElevenLabs TTS)

Students	Price/Student	Annual Revenue	Annual COGS	Gross Profit	Margin
500	\$80	\$40,000	\$10,000	\$30,000	75%
2,000	\$70	\$140,000	\$36,000	\$104,000	74%
5,000	\$65	\$325,000	\$85,000	\$240,000	74%
10,000	\$60	\$600,000	\$160,000	\$440,000	73%

5.3 Scenario C: 70/30 Mix (Recommended)

Most schools buy Standard; upsell Premium to literacy-focused buyers.

Students	Mix	Annual Revenue	Annual COGS	Gross Profit	Margin
500	350 Std + 150 Prem	\$23,900	\$6,500	\$17,400	73%
2,000	1,400 Std + 600 Prem	\$84,000	\$24,800	\$59,200	70%
5,000	3,500 Std + 1,500 Prem	\$195,500	\$57,500	\$138,000	71%
10,000	7,000 Std + 3,000 Prem	\$362,000	\$108,000	\$254,000	70%

Note: At 10K students you'd likely need ElevenLabs Scale plan (\$330/mo) which is already factored into COGS. Cache hit rates improve at scale (projected 75-82% at 10K).

6. Infrastructure Scaling Roadmap

Scale	Monthly Infra Cost	Key Upgrades Needed
0–500 students	\$40–\$80	Current stack (Supabase Pro, ElevenLabs Starter)
500–2,000	\$150–\$400	ElevenLabs Scale (\$330/mo), Supabase Pro
2,000–5,000	\$400–\$1,200	PgBouncer, OpenAI Tier 2+, CDN for cached audio
5,000–10,000	\$1,200–\$3,000	Dedicated DB, Redis cache layer, load balancing
10,000+	\$3,000–\$8,000	Multi-region, dedicated hosting, enterprise SLAs

7. ElevenLabs Tier Planning

Plan	Monthly Cost	Characters/Month	Best For
Starter	\$5	30,000	< 50 students
Creator	\$22	100,000	50–200 students
Pro	\$99	500,000	200–1,000 students
Scale	\$330	2,000,000	1,000–5,000 students
Business	\$1,320	11,000,000	5,000–20,000 students

With persistent caching, character consumption is 60-80% lower than raw page-read count would suggest. A student reading 128 pages/month at ~150 chars/page = 19,200 chars raw, but only ~4,000-7,700 chars billable after cache hits.

8. Sales Playbook

Objection Handling

Objection	Response
We already use Lexia/Raz-Plus	Those are static libraries — every child reads the same content. Time2Read generates unique, personalized stories with AI art and narration. It complements existing tools.
Your price is higher than Raz-Plus	Raz-Plus is a static PDF library at \$8-15/student. Time2Read provides real-time AI generation, personalized illustrations, and AI narration. Compare us to Lexia (\$50-100) — we're 30-50% cheaper with more personalization.
How is data handled for children?	COPPA-compliant. No personal data collected from children without parental consent. All data encrypted at rest and in transit. SOC 2 compliance roadmap in progress.
What about pilot programs?	We offer 30-day free pilots for up to 50 students. Full analytics dashboard included so you can measure engagement and reading outcomes.
Can it work offline?	Stories are cached after first read. Previously read stories work offline. New story generation requires internet. Mobile app supports background caching.

9. Optimization Changelog

This section documents infrastructure changes that affect cost projections.

Date	Change	Impact
Apr 10, 2026	ElevenLabs model switch: Turbo v2.5 → Flash v2.5	50% reduction in per-character TTS cost
Apr 10, 2026	Persistent audio caching: SHA-256 keyed storage in Supabase tts-cache bucket	60-80% of TTS requests served from cache at \$0 API cost
Apr 10, 2026	Streaming latency optimization: optimize_streaming_latency: 3	Faster audio delivery, better UX during first-time reads
Net Effect	Combined TTS COGS reduction	~\$2.98/student/mo → ~\$0.70-1.10/student/mo (65-77% savings)

Previous Versions

- v3 (Apr 10, 2026): Research-backed pricing but used pre-optimization COGS (~\$2.98/mo TTS)
- v2 (Apr 10, 2026): Corrected from v1 underpricing (\$8-24 range)
- v1 (Apr 10, 2026): Initial draft — pricing too low, no margin analysis
- **v4 (current): Definitive edition with post-optimization COGS**

— End of Document —

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